

Calendar Line 2, 3, and 4

Case Name: *Monar, LLC v. Kenneth Rodrigues & Partners, Inc., et al.*

Case No.: 24CV442463

Before the Court are Plaintiff/Cross-Defendant Monar, LLC's ("Monar" or "Plaintiff" or "Cross-Defendant") (1) demurrer to the Cross-Complaint ("Cross-Complaint") filed by Defendants/Cross-Complainants Kenneth Rodrigues & Partners, Inc. and Kenneth Rodrigues (collectively, "KRP" or "Cross-Defendants"), (2) motion to strike portions of the Cross-Complaint, and (3) motion to compel responses to Form Interrogatories ("FI"), Set One. Pursuant to California Rule of Court 3.1308, the Court issues its tentative ruling as follows:

I. Background

A. Complaint

This is an action for professional negligence arising out of the design work for a new building. According to the allegations of the Complaint, on May 1, 2015, KRP, an architectural and professional design firm, and Monar's predecessor in interest, Oscar Bakhtiari doing business as Bakhtiari Auto Group ("BAG"), entered into a written agreement entitled "Proposal for the Schematic Design, Design Development Construction Document Phases" for the "Stevens Creek Subaru Project" (the "Design Agreement"). (Complaint, ¶ 10 and Exhibit A.) The Stevens Creek Subaru Project (the "Project") involved the design for new construction of a three-story auto dealership building with roof-deck parking and related facilities on real property owned by Monar and located at 3215, 3221 and 3225 Stevens Creek Boulevard in San Jose (collectively, the "Property"). (*Id.*)

The Design Agreement (particularly, the "Scope of Work") required KRP to: (a) Prepare Schematic Design documents and drawings (i.e., plans, elevations and sketches) for the Project, including but not limited to site plans, floor plans, roof plans, building sections and elevations; (b) Prepare Design Development documents based on the approved Schematic Design; (c) Provide Construction Documents based on the approved Design Development documents and a Project budget and schedule, and including drawings and specifications that establish in detail the quality level of systems and materials, as well as detailed requirements for construction and submittal to building department agencies; (d) Assist Owner with preparation of bidding documents, respond to building department comments thereon, and coordinate preparation of final permit submittals; (e) Work with the general contractor to achieve Owner's budget for the Project; and (f) Provide construction administration service to Owner.² (Complaint, ¶ 11.) The Design Agreement set forth a preliminary schedule for delivery of the Schematic Design documents and the Design Development documents at three and four months, respectively. (*Id.*, ¶ 12.) KRP prepared and delivered to Monar various aspects of the Plans on June 20, July 29 and August 16, 2026, well over a year after the date of the Design Agreement. (*Id.*, ¶ 13.)

² The Schematic Design documents, Design Development Documents and Construction Documents will be collectively referred to as the "Plans."

On October 17, 2016, BAG entered into a “Standard AIA Form of Agreement Between Owner and Contractor” (the “Construction Contract”) with Teamwrx Construction, Inc. (the “Contractor”) to perform construction of the project based on KRP’s Plans. (Complaint, ¶ 14.) The original sum to be paid under the parties’ agreement was \$11,700,000 and the anticipated start date of construction was December 1, 2016, with the actual start date to be upon receipt of approval from all government agencies. Further, the Construction Contract provided that the duration of construction would be 12 months from commencement. (Complaint, ¶ 16.)

On January 30, 2017, KRP, BAG and TEPA, LLC (“TEPA”), entered into a First Amendment to the Design Agreement, whereby BAG assigned to TEPA its rights and obligations as “Owner” under the agreement. (Complaint, ¶ 17.) On April 17, 2017, BAG and the Contractor executed a first amendment to the Construction Contract pursuant to which BAG was replaced by TEPA as the true Owner of the Property. (*Id.*, ¶ 18.) On May 11, 2017, TEPA and KRP executed a written assignment under which TEPA assigned to Monar all of its obligations (and rights, including potential claims) under the Design Agreement. (*Id.*, ¶ 19.)

From the time it was hired by Owner in May 2015 through the time KRP unilaterally terminated the Design Contract and its services thereunder on October 31, 2018, prior to Project completion, KRP remained engaged as the official architect for the Project. (Complaint, ¶ 21.) However, KRP’s services on the Project were allegedly deficient in numerous respects, resulting in significant delays and monetary damage to Plaintiff. Monar alleges that it/TEPA/BAG, i.e., the “Owner,” were unable to obtain necessary permits in time due to KRP’s failure to provide all documents as required under the Design Agreement. (*Id.*, ¶ 22.) It was not until November 2019, nearly three years after construction was supposed to commence, and nearly two years after construction was initially expected to be complete, that the last of the necessary construction permits was obtained. (*Ibid.*) These delays caused “massive” cost increases to the “Owner” of the Project. Monar alleges that there were also significant design deficiencies in the Plans. (*Id.*, ¶ 23.)

As a result of the aforementioned problems and delays, the cost of construction surpassed \$20 million, or over \$8.3 million more than the initial budget amount set forth in the Construction Contract. (Complaint, ¶ 24.) Monar alleges that Defendants committed professional negligence in the provision of architectural and related design and supervisory services to it.

Monar initiated this action on July 3, 2024 with the filing of the Complaint, which asserts the following causes of action: (1) professional negligence (architectural malpractice); (2) negligent supervision; and (3) breach of contract.

B. Cross-Complaint

In the Cross-Complaint, KRP allege that on May 1, 2015, they entered into a written Professional Services Agreement (“PSA” or “Contract”) with BAG to provide architectural plans for the Stevens Creek Subaru Project (the “Project”). The Contract was eventually assigned by BAG to Monar. (Cross-Complaint, ¶ 8.) Monar was allegedly late with several payments and made persistent demands for plan changes, last-minute modifications and alternations. (*Id.*)

In or sometime before October 22, 2018, Monar demanded that an in-ground hoist system be installed, despite being fully aware that the plans provided for an above-ground lift system. (Cross-Complaint, ¶ 12.) The Project abuts a residential neighborhood, and an above-ground lift system is not subject to review by the California Environmental Quality Act (“CEQA”). (*Id.*, ¶ 13.)

On October 22, 2018, KRP sent a letter to Monar stating that it was terminating the PSA. (Cross-Complaint, ¶ 14.)

KRP allege that they successfully performed all that was required of them under the PSA, but Monar failed to pay all amounts due thereunder, thereby breaching the agreement. They filed the Cross-Complaint on September 6, 2024, asserting claims for: (1) breach of contract; (2) open book account; (3) quantum meruit; and (4) unjust enrichment.

On November 7, 2024, Monar filed the instant demurrer to the fourth cause of action in the Cross-Complaint on the grounds of uncertainty and failure to state sufficient facts and the motion to strike.³ (Code Civ. Proc., §§ 430.10, subds. (e) and (f), 435 and 436.) Monar filed the motion to compel on December 23, 2024.

II. Monar’s Demurrer

A. Legal Standard

In ruling on a demurrer, a court treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.) In ruling on a demurrer, courts may consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 743, 751.

B. Discussion

As articulated above, Monar demurs to the fourth cause of action for unjust enrichment. In this claim, KRP allege that Monar used and revised their architectural plans for the Project but failed to make full payment for the services KRP provided, and thus unjustly retained the benefit of those services at KRP’s expense. (Cross-Complaint, ¶¶ 31-32.) Monar maintains that its demurrer to the fourth cause of action should be sustained because (1) unjust enrichment is not a valid cause of action and (2) it fails as a quasi-contract claim.

“Unjust enrichment is not a cause of action, ... or even a remedy, but rather ‘a general principle, underlying various legal doctrines and remedies[.]’” (See *McBride v.*

³ Monar offers not argument in support of its uncertainty ground. Consequently, the demurrer on this ground is OVERRULED.

Boughton (2004) 123 Cal.App.4th 379, 387 (*McBride*) (internal citations omitted).) Unjust enrichment is synonymous with restitution. (*Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138 (*Levine*).) However, it is also the case, as Monar implicitly acknowledges, that the labeling of a cause of action as “unjust enrichment” is not dispositive of whether a cause of action has been stated. (*McBride, supra*, 123 Cal.App.4th at 387.) A court deciding a demurrer must look to the gravamen of the complaint to determine if any cause of action is stated. (*Ibid.*) “The nature and character of a pleading is to be determined from the facts alleged, not the name given by the pleader to the cause of action.” (*Ananda Church of Self-Realization v. Massachusetts Bay Ins. Co.* (2002) 95 Cal.App.4th 1273, 1281.)

Restitution is also not a cause of action but a remedy. (*Levine, supra*, 189 Cal.App.4th at 1138; *Munoz v. McMillan* (2011) 195 Cal.App.4th 648, 661 (*Munoz*).) “Common law principles of restitution require a party to return a benefit when the retention of such benefit would unjustly enrich the recipient; a typical cause of action involving such remedy is ‘quasi-contract.’” (*Munoz*, 195 Cal.App.4th at 661, citing *McBride* at 388-389.) “There are several potential bases for a cause of action seeking restitution. For example, restitution may be awarded in lieu of breach of contract when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason. Alternatively, restitution may be awarded where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct.” (*McBride*, 123 Cal.App.4th at 388.) “In such cases, the plaintiff may choose not to sue in tort, but instead seek restitution on a quasi-contract theory In such cases, where appropriate, the law will imply a contract (or rather, a quasi-contract), without regard to the parties’ intent, in order to avoid unjust enrichment.” (*Ibid.*, internal citations omitted.)

“As a matter of law, an unjust enrichment claim does not lie where the parties have an enforceable express contract.” (*Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370; *Lance Camper Manufacturing Corp. v. Republic Indemnity Co.* (1996) 44 Cal.App.4th 194, 203.) However, a party to an express contract can assert a claim for restitution based on unjust enrichment as a quasi-contract claim by “alleg[ing in that cause of action] that the express contract is void or was rescinded.” (*Rutherford Holdings, LLC v. Plaza Del Ray* (2014) 223 Cal.App.4th 221 231 (citing *Lance Camper Manufacturing Corp., supra*, 44 Cal.App.4th at 203.)) “A claim for restitution is permitted even if the party inconsistently pleads a breach of contract claim that alleges the existence of an enforceable agreement.” (*Rutherford Holdings, LLC*, 223 Cal.App.4th at 231 (citation omitted).)

Here, Monar contends that even if the Court looks beyond the label of the fourth cause of action, KRP have not stated a cognizable claim for restitution. KRP acknowledge in the Cross-Complaint that an express contract - the Design Agreement/PSA - exists between KRP and Monar (Cross-Complaint, ¶¶ 8-9, 16); thus, KRP plead the unjust enrichment cause of action seeking restitution in the alternative. However, as Monar maintains, KRP plead no facts which establish that the Design Agreement/PSA was void, procured by fraud or mistake, or is otherwise unenforceable or ineffective. In other words, they have not pleaded any basis that entitles them to restitution.

In their opposition, KRP claim (according to Monar, for the first time) that Monar “required the installation of an in-ground hoist system that was not provided for in [KRP’s] plans, and required review for contravention of environmental laws” that would “render the contract potentially void.” (Opp. at 3:28-4:4.) But KRP do not expressly allege in the Cross-

Complaint that the foregoing rendered the Design Agreement void, much less how it did so, and the Design Agreement itself does not appear to make any mention of a hoist system or environmental review under CEQA. (See Complaint, ¶ 10, Exhibit A.) While KRP insist that the Cross-Complaint “states that Monar obtained a benefit from [KRP] through tortious conduct by improperly using and revising [KRP’s] architectural plans, and not paying [KRP] for their services,” they do not actually allege in the pleading that such conduct is tortious or how it qualifies as such. Given the foregoing, the Court agrees with Monar that no claim for restitution has been stated.

Monar’s demurrer to the fourth cause of action on the ground of failure to state facts sufficient to constitute a cause of action is SUSTAINED with 10 days leave to amend.

III. Monar’s Motion to Strike

A. Legal Standard

Under Code of Civil Procedure section 436 a court may strike out any irrelevant, false, or improper matter inserted into any pleading or strike out all or part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. The grounds for a motion to strike must appear on the face of the challenged pleading or from matters of which the court may take judicial notice. (Code Civ. Proc., § 437(a); see also *City and County of San Francisco v. Strahlendorf* (1992) 7 Cal.App.4th 1911, 1913.) In ruling on a motion to strike, the court reads the complaint as a whole, all parts in their context, and assumes the truth of all well-pleaded allegations. (See *Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 63, citing *Clauson v. Super. Ct.* (1998) 67 Cal.App.4th 1253, 1255.)

B. Discussion

Monar moves to strike the portion of the Cross-Complaint wherein KRP seek “restitution in the amount of at least \$350,000” based on, as argued in the demurrer, KRP’s failure to plead an entitlement to such a remedy. Given the Court’s ruling on the demurrer, the motion to strike MOOT.

IV. Monar’s Motion to Compel Responses

Monar moves to compel responses to FI-Construction Litigation, Set One, from Defendants and also requests monetary sanctions.

A. Legal Standard

The party to whom interrogatories have been propounded is required to serve a response within 30 days, or on any later date to which the parties have agreed. (Code Civ. Proc., §§ 2030.260, subd. (a) and 2030.270, subd. (a).) If the party to whom the interrogatories are directed fails to serve a timely response, that party waives any objections to those requests, and the propounding party may move for an order compelling a response. (Code Civ. Proc., § 2030.290, subds. (a) and (b).) The moving party need only demonstrate that the interrogatories were properly propounded, and a response was not served. (See *Leach v. Superior Court* (1980) 111 Cal.App.3d 902, 905-906.)

B. Discussion

Per the declaration of Monar's counsel filed in support of its motion, on November 8, 2024, his office served Defendants with the subject discovery. (See Declaration of David M. Jolivet in Support of Motion to Compel Responses to FI ("Jolivet Decl."), ¶ 3 and Exhibit 2.) On December 6, 2023, Defendants' counsel requested a two-week extension to respond to the FI, i.e., to December 24, 2024. (*Id.*, ¶ 4 and Exhibit 3.) That same day, another attorney in Monar's counsel's office advised opposing counsel that Monar would agree to a limited extension to December 16, 2024, on the condition that KRP would agree to provide: (a) substantive responses to the FI, particularly as to FI No. 304 and its subparts, rather than "objection-only" responses; and (b) a verification with the responses. (Jolivet Decl., ¶ 5, Exhibit 4.) Counsel requested written confirmation of these conditions and the new response deadline; none was received. (*Id.*, ¶¶ 5-6.) Thereafter, KRP failed to provide responses to the FI by the original deadline of December 10, 2024, or by the proposed conditional extension deadline of December 16, 2024.

The foregoing is sufficient to establish that the FI were properly propounded and that responses were not served and thus Monar has met its burden on its motion. In their opposition, KRP acknowledge their failure to provide responses, which they explain was the result of their counsel's "honest mistake in missing the deadline," and state that they and their counsel are working "diligently" to complete their responses. (See Declaration of David A. Ericksen in Support of Opposition to Motion to Compel, ¶ 2.) The Court recognizes this apparent mistake, but as responses have yet to be provided, it will GRANT Monar's motion.

The Court additionally will grant Monar's request for monetary sanctions, which must be imposed unless the Court determines that the opposing party (here, the one subject to the sanctions) "acted with substantial justification or that other circumstances make the imposition of the sanction unjust." (Code Civ. Proc., § 2020.290, subd. (c).) Defendants have not established either of the foregoing and thus sanctions are warranted.

Monar requests monetary sanctions in the amount of \$5,100.00 which, according to the supporting declaration of Plaintiff's counsel, is based on 7 hours of work to prepare the motion at a rate of \$360 per hour, 7 hours of anticipated time to review the opposition, prepare the reply and attend the hearing at that same rate, and a \$60 filing fee. The Court will not award sanctions for anticipated time, and while a reply has been submitted, it is not supported by a declaration from counsel articulating the actual amount of time spent on its preparation. Therefore, Monar's request for sanctions is GRANTED IN PART. The Court will award sanctions in the amount of \$2,580.00 ($[\$360/\text{hr} \times 7] + \60) to be paid within 30 days of service of the final order.

The Court will prepare the final order.

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